

10.8

CONCLUSION

In the book, we understood the Income Statement, Cash Flow, and Balance Sheet in great detail by entering all the raw data and learning about all the different line items.

We asked questions like - is the company generating enough cash compared to its profits? How is the company managing its operating capital, non-current assets, non-current liabilities, and equity? How productive are they, and what is the capital structure, Income Statement analysis, different ratios, questions on every line item, and many other line items, etc.?

With financial statement analysis, we try to understand a company, its operations and its financial position - through numbers. And more companies we look at, better will be the understanding that we will develop.



This is how we perform a detailed financial statement analysis of any company. We can dig deeper and break down every line item depending on the scope of work and the purpose of the analysis. It will determine how much time we want to spend on this. Some might spend 2-3 days on the analysis, getting a basic understanding of the company. Others might spend three months also understanding the company in great detail. Thus, the scope, approach, and time of analysis might be different. But this is how we proceed with analysis in general.

We are now approaching the end of this book. In the next section, we will understand how to analyze or customize this sheet for every industry and build on it.